

THE PROMOTION GAME — Q1 2026 UPDATE

NEW

Device Subsidy Economics in U.S. Wireless | Q1 2025 vs Q1 2026

T-Mobile · Verizon · AT&T | Q1 2026 Earnings Releases | SIGINT Intelligence Platform | Refreshed Apr 29, 2026 15:58

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🎧 Analyst Roundtable Audio (FY2025)

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Page 1 — Subsidy Economics

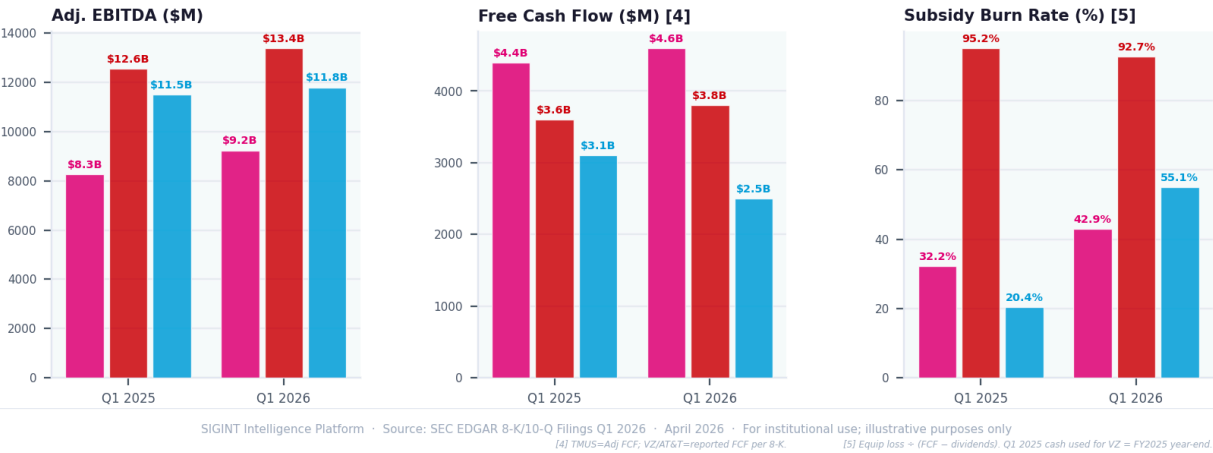
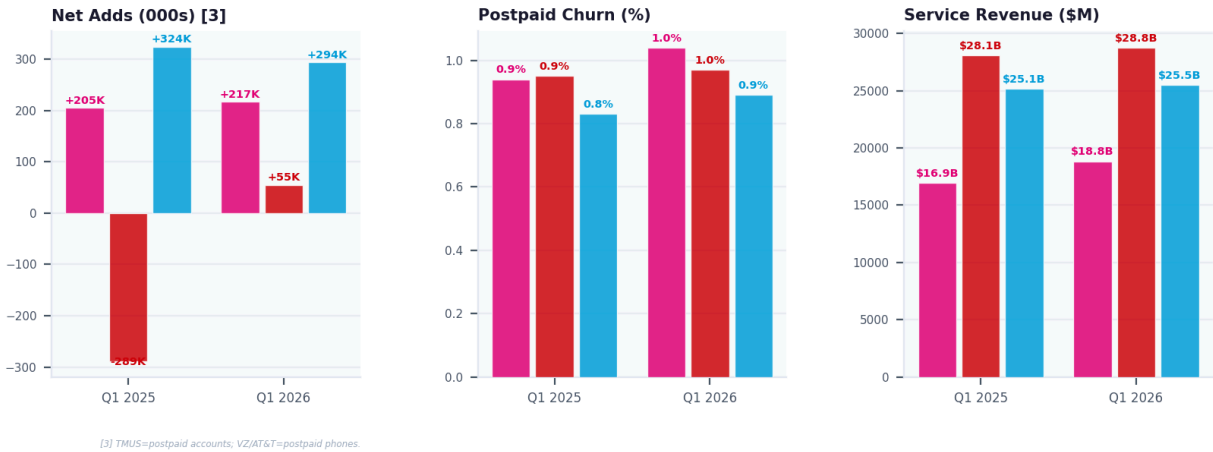
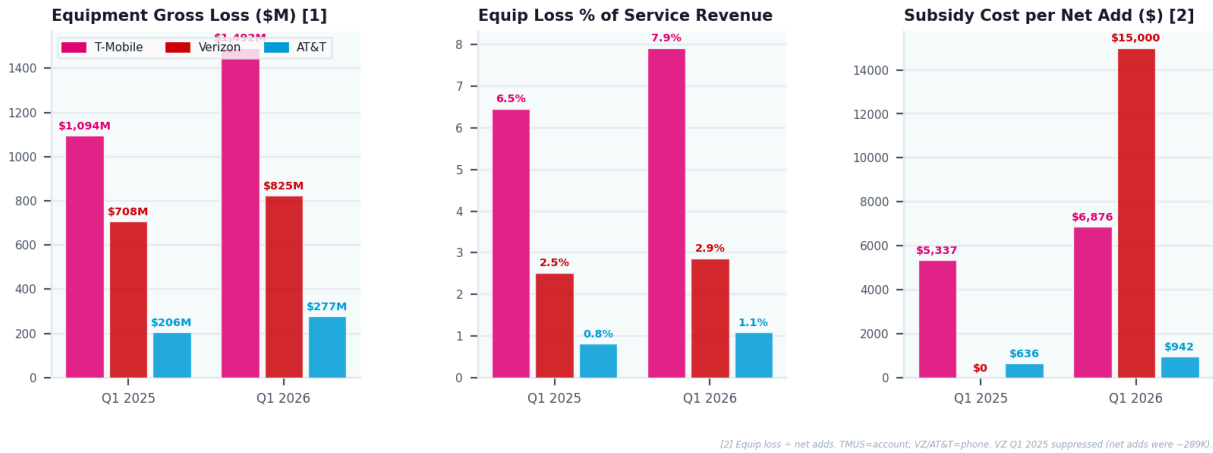
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Device Subsidy Economics | TMUS vs VZ vs AT&T | Q1 2025 vs Q1 2026



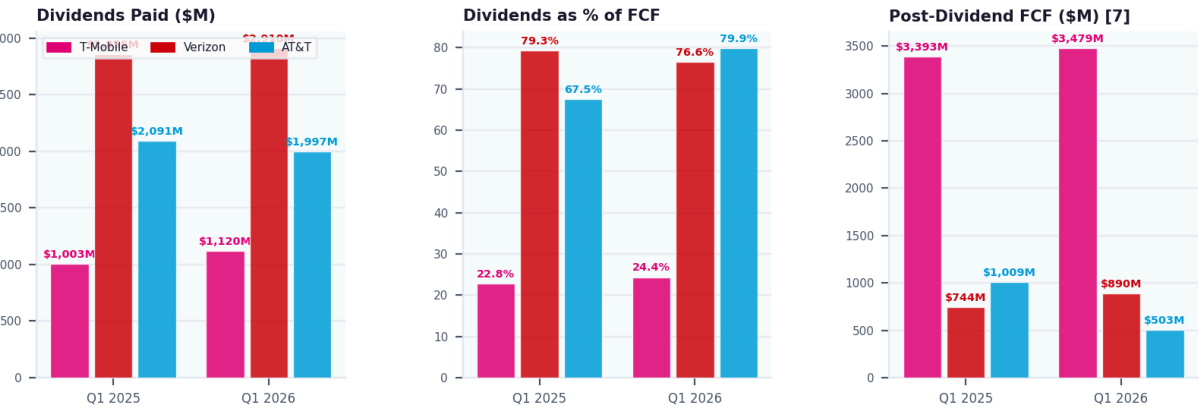
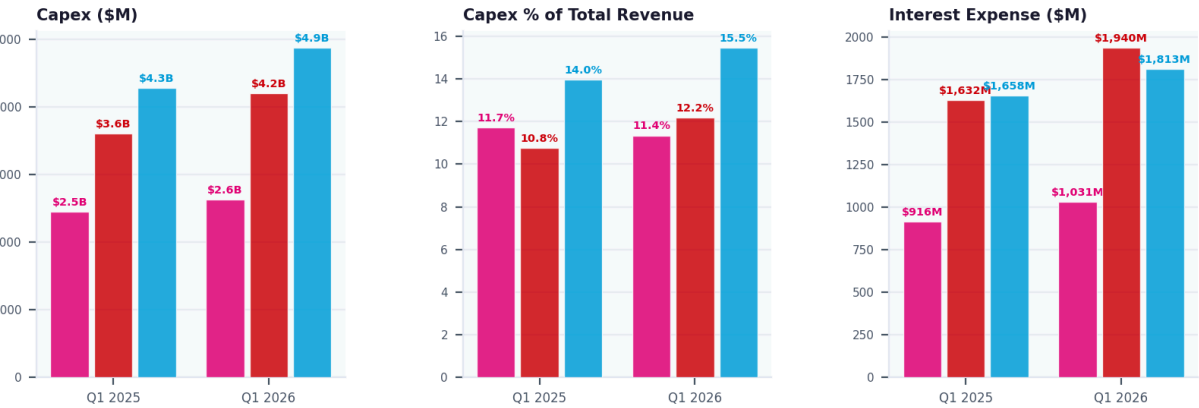
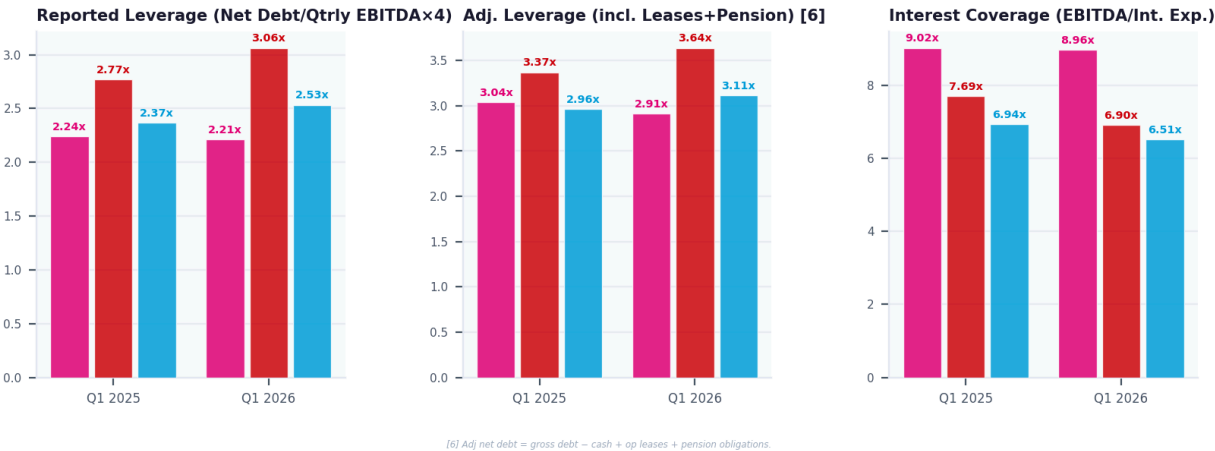
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Balance Sheet Resilience & Capital Efficiency | Q1 2025 vs Q1 2026



SIGINT Intelligence Platform · Source: SEC EDGAR 8-K/10-Q Filings Q1 2026 · April 2026 · For institutional use; illustrative purposes only
[7] FCF minus dividends – discretionary cash for debt pay-down, buybacks or subsidies.

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Analyst Roundtable: "Q1 2026 — The Game Just Changed"

THE VERGE ROUNDTABLE — "Q1 2026: THE GAME JUST CHANGED"
Published April 2026 | The Verge Technology & Business Desk

PARTICIPANTS

MODERATOR Syed Raza — Senior Technology Reporter, The Verge
ANALYST 1 Michael Rollins — Managing Director, Telecom Equity Research, Citi [T-Mobile thesis]
ANALYST 2 Michael Ng — Managing Director, TMT Research, Goldman Sachs [Verizon / quality thesis]

PART I — THE VERIZON REVERSAL

MAX: Verizon just reported its first positive Q1 postpaid phone net adds since 2013. Fifty-five thousand net adds versus minus 289,000 a year ago. Is this a turning point or an expensive data point?

NG: It is structurally significant. Three hundred forty thousand year-over-year improvement in a single quarter is not a promotional blip — it reflects healthier customer economics, a higher mix of new-to-Verizon gross additions, and the first full quarter with Frontier fully integrated. The guidance raise to the top half of 750,000 to 1 million full-year phone adds is credible.

ROLLINS: I will give Verizon the subscriber headline. What I will not give them is the financial grade. Their interest expense jumped 19% year-over-year to \$1.94 billion in a single quarter — that is the Frontier debt load hitting the income statement. Total debt is now \$172.5 billion. And Q1 free cash flow of \$3.8 billion minus \$2.9 billion in dividends leaves \$900 million of discretionary cash. Then they spent \$825 million of it on equipment subsidies. The subscriber win consumed 92 cents of every dollar of headroom.

MAX: Where does AT&T stand on the subsidy ledger?

ROLLINS: AT&T is the most disciplined operator by this metric in Q1 2026. Their equipment loss was \$277 million — less than one-fifth of T-Mobile's. Equipment cost covered by equipment revenue at 95.5 cents on the dollar. They generated 294,000 postpaid phone adds with essentially no promotional subsidy drag. The tradeoff is capital: capex was 4.9billion, up600 million year-over-year, as they accelerate fiber. Free cash flow fell from 3.1billionto2.5 billion and they are burning through cash — down from \$18 billion to \$12 billion on the balance sheet.

PART II — THE RANKING

MAX: Rank the three on financial headroom now that Q1 2026 is on the table.

NG: T-Mobile first, unchanged. EBITDA margin of 49.1%, best in the group. Leverage of 2.4 times on a last-twelve-months basis despite completing the UScellular, Metronet and Lumos acquisitions. Free cash flow of 4.6billiononservicevenuesof18.8 billion — that productivity is unmatched. When iPhone 17 arrives in the fall, T-Mobile has the widest promotional runway of the three.

ROLLINS: AT&T second. DIRECTV is gone, the balance sheet is cleaner, churn at 0.89% is the best of the group. The risk is the EchoStar wireless deal and whether fiber capital can be sustained at \$5 billion per quarter without free cash flow compression becoming structural. Verizon third: not because the subscriber story is bad, but because the financial math is punishing. Ninety-two cents of every discretionary dollar consumed by equipment subsidies is not a long-term posture.

NG: I would flip AT&T and Verizon. Verizon's LTM EBITDA of \$50.8 billion is \$15 billion above AT&T's. The dividend is rock-solid at 2.6 times net leverage. The question is whether Frontier synergies accelerate fast enough to recapture financial flexibility before the next upgrade cycle intensifies.

PART III — ACCOUNTING FORENSICS: Q1 2026 EDITION

MAX: What are investors missing in the Q1 numbers?

NG: Two things. First, AT&T's \$1.1 billion equity income line vanished.

In Q1 2025, equity in net income of affiliates was \$1.44 billion — that was the DIRECTV contribution before divestiture. In Q1 2026, it is negative \$41 million. Income from continuing operations fell from 4.7**billion**to4.2 billion not because the business deteriorated but because that \$1.4 billion recurrent line is gone. Investors comparing net income year-over-year are reading a phantom decline. The operating business is actually up 14.8% EBITDA.

ROLLINS: Second: T-Mobile's subscriber base now includes UScellular,

Metronet and Lumos — 2.1 million acquired accounts in 2025. The 217,000 organic account net adds look modest but the base has grown by nearly 10% from inorganic additions. Subsidy cost per organic add is meaningfully higher than the blended math suggests. The acquisition costs are capitalized; the promotional costs to retain those new customers flow through the income statement going forward.

MAX: Final verdict on who wins the quarter.

ROLLINS: T-Mobile wins on every financial metric. Eleven percent EBITDA

growth, 4.6 billion in free cash flow, sector-leading margins. Verizon wins on the subscriber narrative — and that narrative matters for multiple expansion. AT&T wins on capital discipline but is spending it on fiber, not patience.

NG: Agreed. This is the quarter where the three operators are pursuing

genuinely different strategies. T-Mobile is compounding. Verizon is recovering. AT&T is transforming. None of them is wrong. The market will decide which transformation deserves the premium.

SIGINT NOTE: Analyst views simulated for illustrative purposes only.
Financial data sourced from SEC EDGAR 8-K and 10-Q filings Q1 2026.
AT&T equipment cost derived from consolidated GAAP cost of revenues.
VZ Q1 2025 net adds and AT&T bad debt are estimates.

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Metrics Appendix: Definitions & Q1 2026 Key Figures

METRICS APPENDIX — Q1 2026 DATA SOURCES & DEFINITIONS

ALL FIGURES ARE QUARTERLY (Q1 2025 vs Q1 2026) UNLESS NOTED AS LTM (LAST TWELVE MONTHS)

1. EQUIPMENT GROSS LOSS

Definition: Equipment cost of revenues minus equipment revenues.
Captures the dollar subsidy embedded in device promotions.

Q1 2026: TMUS \$1,492M | VZ \$825M | AT&T \$277M

Source: Consolidated income statement. AT&T = Cost of revenues (Equipment) line.

2. SUBSIDY COST PER NET ADD

Definition: Equipment gross loss ÷ net subscriber additions.
Note: TMUS reports postpaid account net adds; VZ and AT&T report postpaid phone net adds.
Account adds are multi-line; direct comparison to phone adds understates TMUS efficiency.
Q1 2026: TMUS ~\$6,876/acct | VZ ~\$15,000/phone | AT&T ~\$942/phone
Q1 2025: VZ suppressed — net adds were ~289K (net subscriber losses); division undefined.
Verizon's Q1 2026 ratio reflects that most spend is retention on 90M+ existing lines.

3. SUBSIDY BURN RATE

Definition: Equipment gross loss ÷ (FCF – quarterly dividends).
Measures how much truly discretionary cash each dollar of subsidy consumes.

Q1 2026: TMUS ~43% | VZ ~93% | AT&T ~55%

VZ's extreme Q1 reading reflects heavy quarterly dividends (2.9B)vsQ1FCF(3.8B).

4. ADJUSTED EBITDA

Definition: Operating income plus D&A, adjusted for non-recurring items.
Q1 2026: TMUS \$9,241M | VZ \$13,395M | AT&T \$11,800M (est.)
LTM Q1 2026: TMUS \$34,919M | VZ \$50,837M | AT&T ~\$48,000M (estimated)

5. FREE CASH FLOW

Definition: Cash from operations minus capex.
TMUS reports "Adjusted FCF" which adds back finance lease principal.
Q1 2026: TMUS \$4,599M | VZ \$3,800M | AT&T \$2,500M
AT&T FCF declined \$600M YoY due to accelerating fiber deployment capex.

6. REPORTED NET LEVERAGE

Definition: (Gross debt – cash) ÷ (quarterly EBITDA × 4 annualized).
Q1 2026: TMUS ~2.3x | VZ ~3.2x (total debt basis) | AT&T ~2.5x

7. INTEREST COVERAGE

Definition: Quarterly EBITDA ÷ quarterly interest expense.
Q1 2026: TMUS 8.96x | VZ 6.91x | AT&T 6.51x
VZ interest expense +19% YoY reflects Frontier acquisition debt (\$172.5B total debt).

8. SERVICE EBITDA MARGIN (ADJUSTED)

Definition: (EBITDA + equipment loss) ÷ service revenue.
Strips out subsidy drag to show true service economics profitability.
Q1 2026: TMUS ~57.7% | VZ ~50.5% | AT&T ~47.4%

9. CAPEX INTENSITY

Definition: Capital expenditures ÷ total revenues.
Q1 2026: TMUS 11.4% | VZ 12.2% | AT&T 15.5%
AT&T's high intensity reflects accelerated fiber build (+\$600M YoY capex).

10. DIVIDENDS AS % OF FCF

Definition: Quarterly dividends paid ÷ quarterly FCF.
Q1 2026: TMUS 24.4% | VZ 76.6% | AT&T 79.9%
VZ and AT&T leave thin discretionary margins after dividends.

11. POST-DIVIDEND FCF (DISCRETIONARY CASH)

Definition: FCF minus dividends paid. The cash truly available for debt reduction, buybacks, M&A, or promotional investment.
Q1 2026: TMUS \$3,479M | VZ \$890M | AT&T \$503M
TMUS has 3.9x more discretionary cash than VZ and 6.9x more than AT&T.

12. BAD DEBT RATIO

Definition: Estimated credit loss expense ÷ service revenue.
Proxy for customer credit quality and collection risk.
Q1 2026 estimates: TMUS ~2.0% | VZ ~2.1% | AT&T ~2.3%

KEY Q1 2026 EVENTS AFFECTING ANALYSIS

- Verizon: Frontier Networks fully consolidated from January 20, 2026. Total debt \$172.5B.
- First positive Q1 postpaid phone net adds since 2013 (+55K vs ~289K in Q1 2025).
- T-Mobile: UScellular acquisition closed Q3 2025 (+1.45M accounts). Also acquired Metronet (633K accts) and Lumos (85K accts) in 2025. Organic vs. acquired adds blended.
- AT&T: DIRECTV equity income (\$1.44B in Q1 2025) is now gone following divestiture.
- Year-over-year net income comparison is distorted. EchoStar wireless transaction pending.

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